EQUITY RESEARCH · COMPANY DEEP DIVE

Advanced Micro Devices, Inc. (AMD.US)

Technology · Semiconductors

Large Cap (>$200B) · Report Date: October 19, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-10-19

HOLD

Composite · Valuation: UNDERWEIGHT

Target $487.85 · -10.1% upside

Price $542.78

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target $487.85 (-10.1% vs $542.78); Comps 85% + Analyst 15% valuation after outlier checks.
- Strong revenue growth; healthy margins; conservative balance sheet; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	UNDERWEIGHT	Blended PT $487.85	45%
FSA	Strong	Health +0.35 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.50 · 12m +133%	15%
Composite	HOLD	Score +0.03 · 75% confluence	—

Valuation rich but trend improving — wait for confirmation; solid financial statement profile.

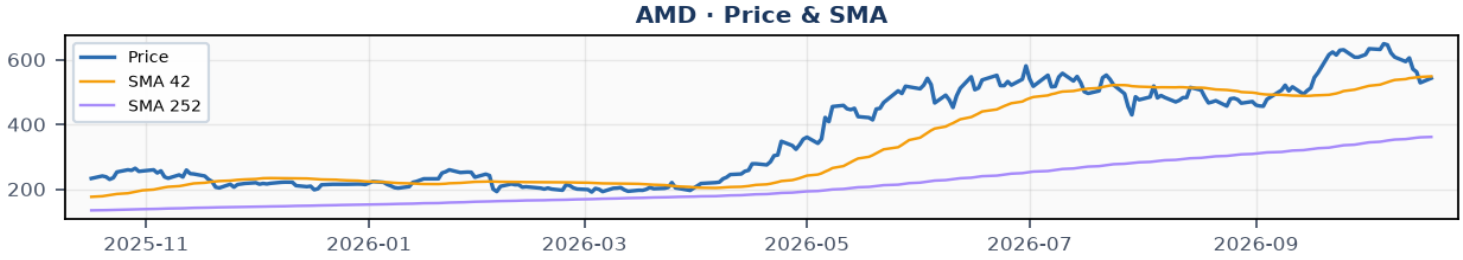
INVESTMENT THESIS / EXECUTIVE SUMMARY

Advanced Micro Devices, Inc. (AMD) — Technology. Advanced Micro Devices, Inc. operates as a semiconductor company internationally. It operates in three segments: Data Center, Client and Gaming, and... **UNDERWEIGHT** rating; blended target $487.85. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$885.88B	Shares Out.	1632.5M
52-Week Range	$188.22 – $658.52	P/E (TTM)	138.4x
P/B	13.2x	Beta	2.45
Avg Volume	22.73M	Analyst Rec.	Strong Buy
Revenue (TTM)	$41.31B	Rev Growth	+50.1%
Op. Margin	17.2%	FCF (TTM)	$6.74B
Gross Margin	55.7%	ROE	10.2%
EV/EBITDA	89.3x	Debt/Equity	6.4%
EPS (TTM)	$3.92	Div Yield	0.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	25,785	34,639	51,993	70,617	88,853
Revenue Growth (%)	N/A	34.3%	50.1%	35.8%	25.8%
Net Income ($M)	1,641	4,335	6,507	8,838	11,120
Gross Margin (%)	49.4%	49.5%	55.7%	55.7%	55.7%
Net Margin (%)	6.4%	12.5%	12.5%	12.5%	12.5%
EPS ($)	1.01	2.66	3.99	5.41	6.81
P/E (x)	539.96	204.40	136.18	100.26	79.68

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$548.46	Short-term trend	12m Momentum	+132.9%	
SMA (252d)	$361.30	Long-term trend	3m Momentum	-1.7%	
RSI (14d)	34.1	Momentum oscillator	Ann. Volatility	57.6%	
Trend	Bullish		Sharpe Ratio	0.56	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-65.4%	
Death Cross (20d)	No		Rel. Strength vs SPY	+284.3%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=$548.46, SMA252=$361.30	Quant Score	+0.50	POSITIVE
			SMA Backtest (ann.)	42.7%	B&H; 75.5%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$56.90	-89.5%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or d…
Comps — Blended	$463.17	-14.7%	85%	Included in blend
Analyst consensus	$627.65	+15.6%	15%	Included in blend
Blended target	$487.85	-10.1%	100%	Comps 85% + Analyst 15%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
17.50%	4.00%	17.53%	$92.88B	$56.90	-89.5%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
INTC	Intel Corporation	$491.59B	N/A	29.1x	-19.8%	+25.4%
QCOM	QUALCOMM Incorporated	$187.08B	20.3x	15.6x	21.0%	-4.0%
AVGO	Broadcom Inc.	$1.60T	42.9x	30.7x	42.9%	+85.5%
TXN	Texas Instruments Inco	$254.03B	42.3x	27.3x	31.1%	+22.8%
AMD*	Advanced Micro Devices	$885.88B	138.4x	89.3x	15.6%	+50.1%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Trends: Strong top-line growth (50.1% YoY); Healthy operating margins (17.2%); Above-market volatility (β=2.45) · Risks: Premium valuation (P/E: 138.4x); High market sensitivity in downturns Strong revenue growth; healthy margins; conservative balance sheet; positive fcf generation. Source: Yahoo Finance. Not investment advice.